

I reiterate that 20 percent in REITs may be too much. Only about 100 REITs are available on the U.S. exchanges. Real estate is still a narrow subsector of the U.S. market, representing less than 3 percent of market capitalization. Accordingly, my belief is that 10 percent of an equity portfolio allocation to a REIT index fund is enough.

Equity REITs are a low-correlation asset class that should be included on your list of potential investments. There are several low-cost REIT index funds that mirror the return on REIT indexes. See [Table 9-3](#) at the end of this chapter for a partial list.

HOME OWNERSHIP

No chapter on real estate would be complete without a discussion of home ownership. In addition to providing living quarters, purchasing a home in a good location has proved to be a reliable long-term investment.

Homeowners in the United States have enjoyed annual returns that have averaged slightly higher than the inflation rate over the decades. Despite a recent decline in the housing market, the interest on a mortgage remains a tax deduction, and some or all of the profit from selling your home is tax-free.

[Figure 9-8](#) represents the average price of a single-family home since 1987, as published by the S&P Case/Shiller Composite–10 Housing Index. The data are collected from local tax offices and represent the sale price of properties that have closed. The index is designed to capture changes in the value of single-family homes in 10 large metropolitan areas in the United States. The index uses a repeated sales measure, meaning it measures average price changes in repeat sales of the same properties.

There are two measurements in [Figure 9-8](#). One is the nominal price of homes, and the other is the inflation-adjusted price. For decades, that price of U.S. homes kept pace with the inflation rate adjusted for improvements, such as central heating and air-conditioning. Then in the mid-1990s, housing prices experienced a steady increase in real returns in some parts of the country. This became a speculative bubble in California, Arizona, Nevada, Florida, and a few other areas. The buying frenzy peaked in 2006, and prices soon cascaded down, bringing the rest of the economy

FIGURE 9-8